

Railroad, one of the few lines to make a satisfactory exhibit during the 1930–1933 depression as well as before. Equally unwarranted is the requirement of \$5,000,000 gross for telephone concerns, as against only \$1,000,000 for gas and electric utilities. This provision would have ruled out the bonds of Tri-State Telephone and Telegraph Company prior to 1927, although they were then (and since) obligations of unquestioned merit. We believe that the following proposed requirements for minimum size, although by necessity arbitrarily taken, are in reasonable accord with the realities of sound investment:

Minimum Requirement of Size

Municipalities	10,000 population
Public-utility enterprises	\$2,000,000 gross
Railroad systems	\$3,000,000 gross
Industrial companies	\$5,000,000 gross

Industrial Bonds and the Factor of Size. Since industrial bonds are not eligible for savings banks under the New York law, no minimum size is therein prescribed. We have expressed the view that industrial obligations may be included among high-grade investments provided they meet stringent tests of safety. The experience of the past decade indicates that dominant or at least substantial size affords an element of protection against the hazards of instability to which industrial enterprises are more subject than are railroads or public utilities. A cautious investor, seeking to profit from recent lessons, would apparently be justified in deciding to confine his purchases of fixed-value bonds to perhaps the half dozen leading units in each industrial group, and also perhaps in adding the suggested minimum requirement of \$5,000,000 annual sales.

Such minimum standards may be criticized as unduly stringent, in that if they were universally applied (which in any event is unlikely) they would make it impossible for sound and prosperous businesses of moderate size to finance themselves through straight bond issues. It is conceivable that a general stabilization of industrial conditions in the United States may invalidate the conclusions derived from the extreme variations of the past ten years. But until such a tendency in the direction of stability has actually demonstrated itself, we should favor a highly exacting attitude toward the purchase of industrial bonds *at investment levels*.